SFC Energy

(CDAX, Industrial Goods & Services, F3C GR)

WARBURG RESEARCH

Buy	
EUR 18.00	(EUR 21.00)
Price	EUR 12.20
Upside	47.5 %

Value Indicators:	EUR
DCF:	18.00
FCF-Value Potential 27e:	14.00

Warburg Risk Score:	3.8
Balance Sheet Score:	5.0
Market Liquidity Score:	2.5

Description:

Solutions for off-grid and stationary power generation + distribution

Market Snapshot:	EUR m
Market cap:	211.8
No. of shares (m):	17.4
EV:	163.6
Freefloat MC:	202.9
Ø Trad. Vol. (30d):	813.80 th

Shareholders:	
Freefloat	95.80 %
Conduit Ventures	2.10 %
Management	1.90 %
Acatis	*8.30 %*
Hansa Invest	*3.00 %*

Key Figures (WRe):	2025e
Beta:	1.4
Price / Book:	1.5 x
Equity Ratio:	72 %

H2 growth below expectations

Stated Figures Q3/2025:

FY End: 31.12. in EUR m	Q3 25	Q3 25e	Q3 24	yoy	9M 25	9M 25e	9M 24	yoy
Sales	**29.1**	32.6	34.3	-15 %	**102.7**	106.2	105.2	-2 %
EBITDA adj.	**2.3**	2.3	5.7	-60 %	**10.8**	10.9	18.2	-41 %
Margin	*7.8 %*	*7.2 %*	*16.6 %*		*10.5 %*	*10.2 %*	*17.3 %*	

Comment on Figures:

- Q3 sales below estimates, with very little sales contribution from Asia
- Adj. EBITDA in line with forecasts thanks to valuation gain and lower OPEX, which offset the low sales and gross-margin levels
- 9M earnings strongly impacted by temporarily inflated ERP/IT expenses and adverse currency effects

SFC released **Q3 results yesterday (18.11.25) and reduced its FY 2025 guidance further**. **Revenues of EUR 29.1m remained below WRe** EUR 32.6m, **while the order intake recovered further to EUR 34.7m in Q3**, implying a book-to-bill ratio of 1.2x, after a very weak start to the year (book-to-bill stood at 0.6x in H1). The loss of a project in the Clean Power business in North America (VFDs, typically lower margin) contributes to the top-line shortfall in H2 in addition to persistent uncertainty at some (new) customers. The **adj. EBITDA met the forecast** despite the top-line weakness. However, **this is mostly due to a valuation gain to the tune of EUR 1.8m coupled with somewhat lower OPEX** (e.g. thanks to a normalization of IT costs), which offset the lower sales, **further currency losses,** and a relatively low gross margin of 35.2% (after 42.5% in H1), which resulted from an unfavourable product mix and low utilization.

For 2025**, SFC is now expecting sales to come in at the low end of its revised guidance**, implying roughly flat growth, and adj. EBITDA in the lower half of the range (EUR 13-19m). In comparison to the original guidance, this year's top line falls short by roughly EUR 25m. This is mainly explained by the unexpected delay in the follow-up order in India, uncertainty among new US customers and lower demand from Asia.

In light of the disappointing top-line development coupled with partially low visibility, growth **estimates are being de-risked**. Generally, an uptake in demand from defence customers and a broadening of the customer base in the US and Asia remain important drivers. Especially in defence however, the visibility on the timing and mix of the procurement remains subdued at the moment for NATO customers as well as in India, which could, however, materialize as upside. In its industrial fuel cell business, SFC expects to continue to achieve double-digit organic growth rates. Profitability should however remain at favourable levels. The FY 2025 earnings are materially impacted by adverse currency effects and inflated IT/ERP expenses. Less currency headwind and IT spending coupled with cost savings, should facilitate the return to margin expansion in 2026.

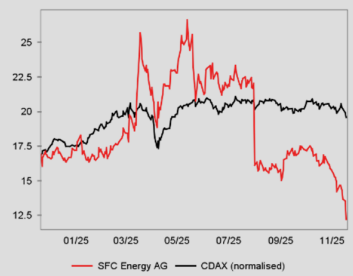
The PT is being reduced to EUR 18 based on the assumptions of slower growth. The Buy rating is maintained considering the valuation upside coupled with the return to better operating development from 2026 onwards.

Changes in Estimates:

FY End: 31.12. in EUR m	2025e (old)	+ / -	2026e (old)	+ / -	2027e (old)	+ / -
Sales	152.6	-4.5 %	171.4	-8.1 %	201.6	-14.5 %
EBITDA adj.	14.9	-2.5 %	19.2	-0.3 %	28.6	-15.8 %

Comment on Changes:

- De-risking of future growth expectations following disappointing top line development in 2025
- Next year's EBITDA should benefit from less currency headwind, lower IT spending and cost savings



Rel. Performance vs CDAX:

1 month:	-21.1 %
6 months:	-46.9 %
Year to date:	-40.8 %
Trailing 12 months:	-43.9 %

Company events:

FY End: 31.12. in EUR m	CAGR (24-27e)	2021	2022	2023	2024	2025e	2026e	2027e
Sales	6.0 %	64.3	85.2	118.1	144.8	145.7	157.5	172.4
Change Sales yoy		20.9 %	32.5 %	38.6 %	22.5 %	0.6 %	8.1 %	9.5 %
Gross profit margin		*35.2 %*	*36.8 %*	*39.6 %*	*41.0 %*	*40.0 %*	*39.0 %*	*39.5 %*
EBITDA	6.1 %	-0.8	8.6	14.6	20.2	10.6	19.2	24.1
EBITDA adj.		6.2	6.2	15.2	22.0	14.5	19.2	24.1
Margin		*9.7 %*	*7.3 %*	*12.8 %*	*15.2 %*	*9.9 %*	*12.2 %*	*14.0 %*
EBIT adj.	-0.3 %	1.9	1.2	9.7	15.6	6.8	11.3	15.4
Margin	*-5.9 %*	*3.0 %*	*1.4 %*	*8.2 %*	*10.7 %*	*4.7 %*	*7.2 %*	*9.0 %*
Net income	4.7 %	-5.8	1.1	21.1	9.4	1.5	7.6	10.8
EPS	4.7 %	-0.40	0.07	1.21	0.54	0.08	0.44	0.62
EPS adj.	-1.6 %	0.08	-0.08	1.25	0.65	0.31	0.44	0.62
FCFPS		-0.21	-0.67	-0.16	0.36	0.33	0.40	0.42
FCF / Market cap		-0.8 %	-2.9 %	-0.7 %	1.8 %	2.7 %	3.3 %	3.4 %
EV / Sales		5.7 x	3.6 x	2.8 x	2.0 x	1.1 x	1.0 x	0.9 x
EV / EBITDA adj.		58.8 x	49.5 x	22.2 x	13.4 x	11.3 x	8.2 x	6.2 x
EV / EBIT adj.		190.4 x	253.6 x	34.7 x	18.9 x	23.9 x	13.9 x	9.7 x
P / E		n.a.	325.8 x	18.1 x	35.9 x	152.5 x	27.7 x	19.7 x
P / E adj.		329.9 x	n.a.	17.5 x	29.8 x	39.4 x	27.7 x	19.7 x
FCF Potential Yield		-0.8 %	1.5 %	7.0 %	4.1 %	3.1 %	8.5 %	11.8 %
Net Debt		-15.5	-50.6	-43.8	-42.6	-48.3	-55.2	-62.4
ROCE (NOPAT)		n.a.	3.0 %	30.1 %	10.2 %	2.1 %	8.4 %	11.2 %
Guidance:		2025: lower end of sales EUR 146.5 - 161m; adj. EBITDA EUR 13 - 19m						

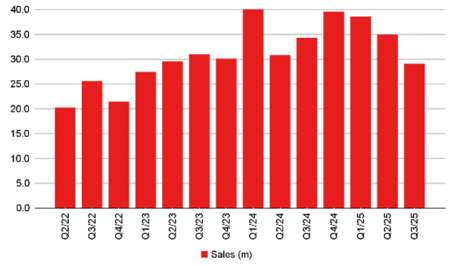
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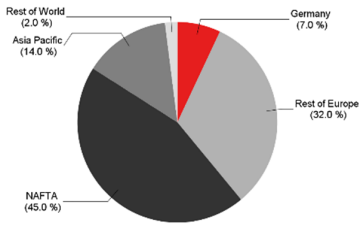
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Sales development
in EUR m



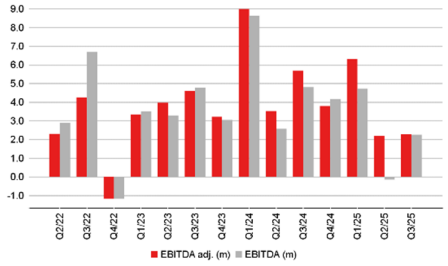
Source: Warburg Research

Sales by regions
2024; in %



Source: Warburg Research

EBITDA development
in EUR m



Source: Warburg Research

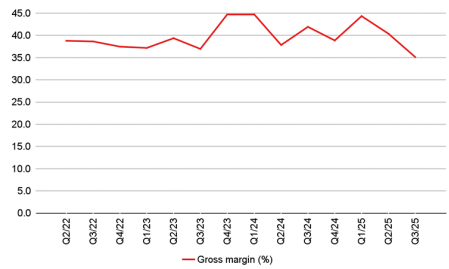
Company Background

- SFC was the first company to develop fuel cells to market maturity. It has sold more than 55,000 fuel cells so far.
- The company's products address the leisure, industry and defence markets.
- The acquisition of PBF added customised high-tech power solutions for industrial applications to the product portfolio
- The acquisition of Simark (Canada) allows for a forward integration towards a system supplier and strengthens the activities in the attractive oil + gas industry
- The product portfolio is extended by hydrogen based fuel cells. This enables higher power products for further applications.

Competitive Quality

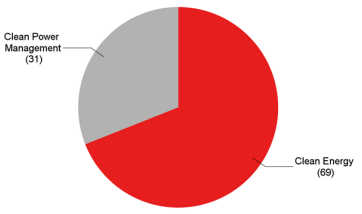
- SFC focuses on the DMFC fuel cell technology, which is superior to the other fuel cell technologies in mobile applications with low to medium performance standards.
- SFC's products thus mainly compete with established technologies. The products are not sold on price but rather on the specific advantages offered by the fuel cell technology in the relevant fields of application.
- The leisure and industry markets focus on an energy supply independent of the grid and the weather conditions. The fuel cells in the defence segment allow for weight reduction of ca. 80%
- The major barriers to market entry are the technological lead, secured by a large patent portfolio, and the established sales structures.
- A solid balance sheet with a large cash position enables SFC to scale the fuel cell technology and to address new applications

Gross margin development
in % of sales



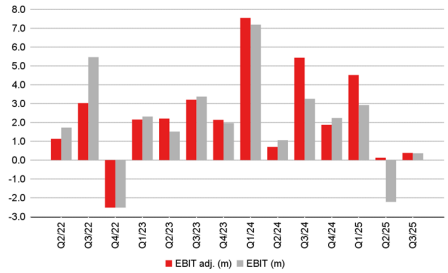
Source: Warburg Research

Sales by segments
2024; in %



Source: Warburg Research

EBIT development
in EUR m



Source: Warburg Research

DCF model

	Detailed forecast period			Transitional period										Term. Value
Figures in EUR m	2025e	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	2035e	2036e	2037e	
Sales	145.7	157.5	172.4	189.6	208.6	229.4	252.4	272.6	294.4	309.1	324.6	334.3	341.0	
Sales change	*0.6 %*	*8.1 %*	*9.5 %*	*10.0 %*	*10.0 %*	*10.0 %*	*10.0 %*	*8.0 %*	*8.0 %*	*5.0 %*	*5.0 %*	*3.0 %*	*2.0 %*	*2.0 %*
EBIT	2.9	11.3	15.4	19.9	26.1	32.1	35.3	38.2	41.2	43.3	45.4	46.8	47.7	
EBIT-margin	*2.0 %*	*7.2 %*	*9.0 %*	*10.5 %*	*12.5 %*	*14.0 %*	*14.0 %*	*14.0 %*	*14.0 %*	*14.0 %*	*14.0 %*	*14.0 %*	*14.0 %*	
Tax rate (EBT)	*20.9 %*	*13.7 %*	*13.1 %*	*13.9 %*	*13.8 %*	*13.7 %*	*28.2 %*	*28.3 %*	*28.4 %*	*28.5 %*	*28.5 %*	*28.6 %*	*28.6 %*	
NOPAT	2.3	9.8	13.4	17.1	22.5	27.7	25.4	27.3	29.5	31.0	32.5	33.4	34.1	
Depreciation	7.7	7.8	8.7	9.0	9.4	9.8	10.1	9.5	10.3	10.8	11.4	11.7	11.9	
in % of Sales	*5.3 %*	*5.0 %*	*5.0 %*	*4.8 %*	*4.5 %*	*4.3 %*	*4.0 %*	*3.5 %*	*3.5 %*	*3.5 %*	*3.5 %*	*3.5 %*	*3.5 %*	
Changes in provisions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Change in Liquidity from														
- Working Capital	-1.7	0.0	4.3	0.8	1.3	1.0	5.7	5.0	5.5	3.7	3.9	2.4	1.7	
- Capex	6.3	10.3	10.5	11.0	11.5	11.5	12.6	12.3	13.2	11.4	12.0	12.4	12.6	
Capex in % of Sales	*4.3 %*	*6.5 %*	*6.1 %*	*5.8 %*	*5.5 %*	*5.0 %*	*5.0 %*	*4.5 %*	*4.5 %*	*3.7 %*	*3.7 %*	*3.7 %*	*3.7 %*	
- Other	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Free Cash Flow (WACC Model)	5.4	7.3	7.3	14.4	19.1	25.0	17.1	19.6	21.1	26.7	28.0	30.3	31.7	32
PV of FCF	5.8	7.1	6.4	11.6	14.0	16.6	10.4	10.8	10.6	12.1	11.5	11.4	10.8	137
share of PVs	7.02 %			43.43 %										49.55 %

Model parameter

Derivation of WACC:		Derivation of Beta:	
Debt ratio	6.00 %	Financial Strength	1.35
Cost of debt (after tax)	3.5 %	Liquidity (share)	1.45
Market return	8.25 %	Cyclicality	1.35
Risk free rate	2.75 %	Transparency	1.40
		Others	1.45
WACC	**10.03 %**	**Beta**	**1.40**

Valuation (m)

Present values 2037e	139		
Terminal Value	137		
Financial liabilities	18		
Pension liabilities	0		
Hybrid capital	0		
Minority interest	5		
Market val. of investments	0		
Liquidity	61	No. of shares (m)	17.4
Equity Value	**313**	**Value per share (EUR)**	**18.03**

Sensitivity Value per Share (EUR)

		Terminal Growth						
Beta	WACC	1.25 %	1.50 %	1.75 %	**2.00 %**	2.25 %	2.50 %	2.75 %
1.59	11.0 %	15.60	15.75	15.91	16.08	16.26	16.45	16.65
1.50	10.5 %	16.43	16.61	16.80	17.00	17.21	17.43	17.67
1.45	10.3 %	16.88	17.07	17.28	17.50	17.73	17.97	18.24
1.40	10.0 %	17.36	17.57	17.79	**18.03**	18.28	18.55	18.84
1.35	9.8 %	17.86	18.09	18.34	18.60	18.87	19.17	19.48
1.30	9.5 %	18.40	18.65	18.92	19.20	19.51	19.83	20.18
1.21	9.0 %	19.59	19.89	20.21	20.55	20.92	21.31	21.74

		Delta EBIT-margin						
Beta	WACC	-1.5 pp	-1.0 pp	-0.5 pp	**+0.0 pp**	+0.5 pp	+1.0 pp	+1.5 pp
1.59	11.0 %	14.13	14.78	15.43	16.08	16.73	17.38	18.03
1.50	10.5 %	14.94	15.62	16.31	17.00	17.68	18.37	19.05
1.45	10.3 %	15.38	16.08	16.79	17.50	18.20	18.91	19.61
1.40	10.0 %	15.85	16.57	17.30	**18.03**	18.76	19.48	20.21
1.35	9.8 %	16.35	17.10	17.85	18.60	19.35	20.09	20.84
1.30	9.5 %	16.88	17.66	18.43	19.20	19.98	20.75	21.52
1.21	9.0 %	18.07	18.90	19.72	20.55	21.38	22.20	23.03

- Growth in all segments should support positive top line development
- Sustainable EBIT margin of 14% expected.
- High tax loss carry-forwards reduce the cash-effective tax rate significantly in the coming years

Free Cash Flow Value Potential

Warburg Research's valuation tool "FCF Value Potential" reflects the ability of the company to generate sustainable free cash flows. It is based on the "FCF potential" - a FCF "ex growth" figure - which assumes unchanged working capital and pure maintenance capex. A value indication is derived via the perpetuity of a given year's "FCF potential" with consideration of the weighted costs of capital. The fluctuating value indications over time add a timing element to the DCF model (our preferred valuation tool).

	in EUR m	2021	2022	2023	2024	2025e	2026e	2027e
	Net Income before minorities	-5.8	1.1	21.1	9.4	1.5	7.6	10.8
+	Depreciation + Amortisation	4.3	5.0	5.5	6.5	7.7	7.8	8.7
-	Net Interest Income	-0.4	-0.6	0.2	0.2	-0.8	-0.4	0.0
-	Maintenance Capex	2.8	2.8	2.9	3.0	3.0	3.2	3.2
+	Other	0.8	0.6	0.2	-0.5	-1.8	0.6	1.4
=	**Free Cash Flow Potential**	**-3.1**	**4.5**	**23.6**	**12.1**	**5.1**	**13.3**	**17.7**
	FCF Potential Yield (on market EV)	-0.8 %	1.5 %	7.0 %	4.1 %	3.1 %	8.5 %	11.8 %
	WACC	10.03 %	10.03 %	10.03 %	10.03 %	10.03 %	10.03 %	10.03 %
=	**Enterprise Value (EV)**	**366.3**	**307.0**	**336.6**	**294.2**	**163.8**	**156.8**	**149.6**
=	**Fair Enterprise Value**	**n.a.**	**44.5**	**235.6**	**120.6**	**51.1**	**132.6**	**176.1**
-	Net Debt (Cash)	-42.6	-42.6	-42.6	-42.6	-48.3	-55.2	-62.4
-	Pension Liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0
-	Other	0.0	0.0	0.0	0.0	0.0	0.0	0.0
-	Market value of minorities	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+	Market value of investments	0.0	0.0	0.0	0.0	16.2	16.2	16.2
=	**Fair Market Capitalisation**	**n.a.**	**87.2**	**278.2**	**163.2**	**115.6**	**204.1**	**254.8**
	Number of shares, average	14.5	15.7	17.4	17.4	17.4	17.4	17.4
=	**Fair value per share (EUR)**	**n.a.**	**5.56**	**16.02**	**9.40**	**6.66**	**11.75**	**14.67**
	premium (-) / discount (+) in %					-45.4 %	-3.7 %	20.3 %

Sensitivity Fair value per Share (EUR)

13.03 %	n.a.	4.43	12.90	7.80	5.98	9.99	12.34
12.03 %	n.a.	4.59	13.77	8.24	6.17	10.48	12.99
11.03 %	n.a.	4.79	14.79	8.77	6.39	11.06	13.75
WACC **10.03 %**	**n.a.**	**5.56**	**16.02**	**9.40**	**6.66**	**11.75**	**14.67**
9.03 %	n.a.	5.31	17.53	10.17	6.98	12.60	15.80
8.03 %	n.a.	5.66	19.40	11.13	7.39	13.65	17.20
7.03 %	n.a.	6.12	21.81	12.36	7.91	15.01	19.00

- A rising earnings generation is reflected in an increasing value indication
- D&A above maintenance capex owing to R&D-amortisation
- 28% tax rate and present value of tax loss carryforwards incorporated

Valuation

	2021	2022	2023	2024	2025e	2026e	2027e
Price / Book	7.6 x	3.5 x	3.0 x	2.4 x	1.5 x	1.4 x	1.3 x
Book value per share ex intangibles	2.23	4.89	6.24	6.82	6.98	7.38	7.95
EV / Sales	5.7 x	3.6 x	2.8 x	2.0 x	1.1 x	1.0 x	0.9 x
EV / EBITDA	n.a.	35.7 x	23.0 x	14.6 x	15.5 x	8.2 x	6.2 x
EV / EBIT	n.a.	85.3 x	36.8 x	21.4 x	56.4 x	13.9 x	9.7 x
EV / EBIT adj.*	190.4 x	253.6 x	34.7 x	18.9 x	23.9 x	13.9 x	9.7 x
P / FCF	n.a.	n.a.	n.a.	54.2 x	37.5 x	30.6 x	29.3 x
P / E	n.a.	325.8 x	18.1 x	35.9 x	152.5 x	27.7 x	19.7 x
P / E adj.*	329.9 x	n.a.	17.5 x	29.8 x	39.4 x	27.7 x	19.7 x
Dividend Yield	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
FCF Potential Yield (on market EV)	-0.8 %	1.5 %	7.0 %	4.1 %	3.1 %	8.5 %	11.8 %

*Adjustments made for: Adjusted for acquisitions + transaction related costs, PPA amortizations

Consolidated profit and loss

In EUR m	2021	2022	2023	2024	2025e	2026e	2027e
Sales	**64.3**	**85.2**	**118.1**	**144.8**	**145.7**	**157.5**	**172.4**
Change Sales yoy	20.9 %	32.5 %	38.6 %	22.5 %	0.6 %	8.1 %	9.5 %
COGS	41.7	53.8	71.4	85.4	87.4	96.0	104.3
Gross profit	**22.6**	**31.4**	**46.8**	**59.3**	**58.3**	**61.4**	**68.1**
Gross margin	*35.2 %*	*36.8 %*	*39.6 %*	*41.0 %*	*40.0 %*	*39.0 %*	*39.5 %*
Research and development	3.3	4.4	5.3	7.3	9.5	9.7	10.3
Sales and marketing	15.1	14.2	15.1	16.7	18.0	17.5	18.5
Administration expenses	10.3	10.3	15.5	20.9	25.8	22.5	23.5
Other operating expenses	0.0	1.4	2.9	2.9	6.0	0.5	0.4
Other operating income	0.9	2.5	1.2	2.1	3.9	0.1	0.1
Unfrequent items	0.0	0.0	0.0	0.0	0.0	0.0	0.0
EBITDA	**-0.8**	**8.6**	**14.6**	**20.2**	**10.6**	**19.2**	**24.1**
Margin	*-1.2 %*	*10.1 %*	*12.4 %*	*13.9 %*	*7.2 %*	*12.2 %*	*14.0 %*
Depreciation of fixed assets	2.7	2.9	2.6	4.0	4.5	4.8	5.5
EBITA	**-3.5**	**5.7**	**12.0**	**16.2**	**6.1**	**14.4**	**18.6**
Amortisation of intangible assets	1.6	2.1	2.8	2.5	3.2	3.0	3.2
Goodwill amortisation	0.0	0.0	0.0	0.0	0.0	0.0	0.0
EBIT	**-5.1**	**3.6**	**9.2**	**13.7**	**2.9**	**11.3**	**15.4**
Margin	*-7.9 %*	*4.2 %*	*7.8 %*	*9.5 %*	*2.0 %*	*7.2 %*	*9.0 %*
EBIT adj.	**1.9**	**1.2**	**9.7**	**15.6**	**6.8**	**11.3**	**15.4**
Interest income	0.0	0.0	1.0	1.1	0.4	0.4	0.4
Interest expenses	0.4	0.6	0.8	0.9	1.2	0.8	0.4
Other financial income (loss)	0.0	0.0	0.0	0.0	0.0	0.0	0.0
EBT	**-5.5**	**3.0**	**9.3**	**13.9**	**2.1**	**10.9**	**15.4**
Margin	*-8.6 %*	*3.5 %*	*7.9 %*	*9.6 %*	*1.4 %*	*6.9 %*	*8.9 %*
Total taxes	0.3	1.9	-11.7	4.6	0.6	3.3	4.6
Net income from continuing operations	**-5.8**	**1.1**	**21.1**	**9.4**	**1.5**	**7.6**	**10.8**
Income from discontinued operations (net of tax)	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net income before minorities	**-5.8**	**1.1**	**21.1**	**9.4**	**1.5**	**7.6**	**10.8**
Minority interest	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net income	**-5.8**	**1.1**	**21.1**	**9.4**	**1.5**	**7.6**	**10.8**
Margin	*-9.1 %*	*1.3 %*	*17.8 %*	*6.5 %*	*1.0 %*	*4.9 %*	*6.3 %*
Number of shares, average	14.5	15.7	17.4	17.4	17.4	17.4	17.4
EPS	**-0.40**	**0.07**	**1.21**	**0.54**	**0.08**	**0.44**	**0.62**
EPS adj.	0.08	-0.08	1.25	0.65	0.31	0.44	0.62

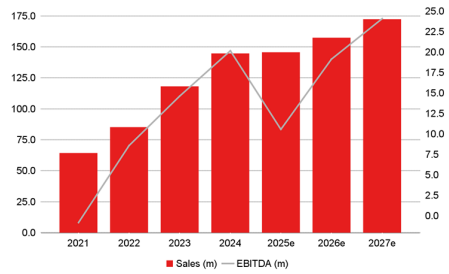
*Adjustments made for: Adjusted for acquisitions + transaction related costs, PPA amortizations

Guidance: 2025: lower end of sales EUR 146.5 - 161m; adj. EBITDA EUR 13 - 19m

Financial Ratios

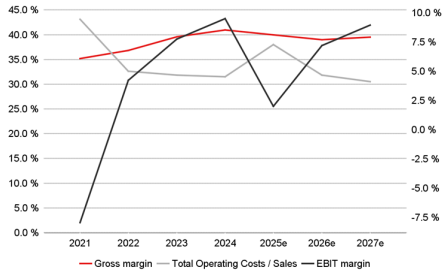
	2021	2022	2023	2024	2025e	2026e	2027e
Total Operating Costs / Sales	43.1 %	32.6 %	31.9 %	31.5 %	38.0 %	31.8 %	30.5 %
Operating Leverage	0.6 x	n.a.	4.0 x	2.2 x	-122.0 x	35.9 x	3.8 x
EBITDA / Interest expenses	n.m.	14.1 x	18.3 x	22.9 x	8.8 x	23.9 x	55.8 x
Tax rate (EBT)	-5.7 %	64.2 %	-125.4 %	32.9 %	30.0 %	30.0 %	30.0 %
Dividend Payout Ratio	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %
Sales per Employee	223,333	261,437	305,292	361,885	539,593	583,167	638,463

Sales, EBITDA
in EUR m



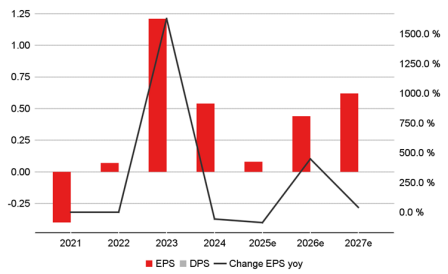
Source: Warburg Research

Operating Performance
in %



Source: Warburg Research

Performance per Share



Source: Warburg Research

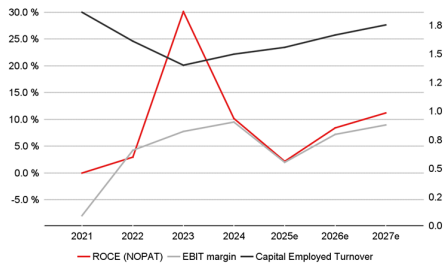
Consolidated balance sheet

In EUR m	2021	2022	2023	2024	2025e	2026e	2027e
Assets							
Goodwill and other intangible assets	17.7	18.6	19.8	20.7	20.6	21.5	22.6
thereof other intangible assets	0.5	0.6	1.6	0.8	1.0	1.2	1.4
thereof Goodwill	8.4	8.4	8.3	8.3	8.3	8.3	8.3
Property, plant and equipment	8.9	13.4	16.9	22.6	21.6	23.3	24.3
Financial assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other long-term assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Fixed assets	**26.6**	**32.0**	**36.8**	**43.3**	**42.1**	**44.8**	**46.8**
Inventories	14.2	24.9	25.0	30.6	29.7	31.5	34.5
Accounts receivable	17.9	19.4	30.7	36.6	36.7	36.7	40.1
Liquid assets	25.0	65.2	60.1	60.8	65.3	71.2	77.4
Other short-term assets	3.8	5.8	23.8	22.8	22.7	21.0	18.4
Current assets	**60.8**	**115.2**	**139.7**	**150.8**	**154.4**	**160.4**	**170.5**
Total Assets	**87.4**	**147.2**	**176.4**	**194.1**	**196.6**	**205.2**	**217.3**
Liabilities and shareholders' equity							
Subscribed capital	14.5	17.4	17.4	17.4	17.4	17.4	17.4
Capital reserve	119.6	168.3	173.2	175.0	175.0	175.0	175.0
Retained earnings	0.0	0.0	0.0	0.0	1.5	9.1	19.9
Other equity components	-84.1	-82.2	-62.4	-53.1	-51.9	-51.7	-51.5
Shareholders' equity	50.0	103.4	128.2	139.3	142.0	149.8	160.8
Minority interest	0.0	0.0	0.0	-0.1	-0.1	-0.1	-0.1
Total equity	**50.0**	**103.4**	**128.1**	**139.2**	**141.9**	**149.7**	**160.7**
Provisions	3.6	3.9	5.6	7.3	7.3	7.3	7.3
thereof provisions for pensions and similar obligations	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Financial liabilities (total)	9.5	14.6	16.4	18.1	17.0	16.0	15.0
Short-term financial liabilities	2.7	4.1	3.8	4.1	4.0	4.0	4.0
Accounts payable	7.6	9.0	12.9	15.6	16.0	17.3	18.9
Other liabilities	16.7	16.2	13.4	14.0	14.4	14.9	15.4
Liabilities	**37.4**	**43.8**	**48.3**	**54.9**	**54.7**	**55.5**	**56.6**
Total liabilities and shareholders' equity	**87.4**	**147.2**	**176.4**	**194.1**	**196.6**	**205.2**	**217.3**

Financial Ratios

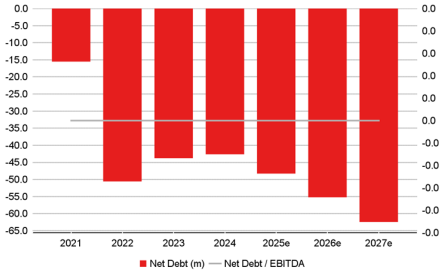
	2021	2022	2023	2024	2025e	2026e	2027e
Efficiency of Capital Employment							
Operating Assets Turnover	2.0 x	1.8 x	2.0 x	2.0 x	2.0 x	2.2 x	2.2 x
Capital Employed Turnover	1.9 x	1.6 x	1.4 x	1.5 x	1.6 x	1.7 x	1.8 x
ROA	-21.9 %	3.4 %	57.4 %	21.7 %	3.5 %	17.1 %	23.0 %
Return on Capital							
ROCE (NOPAT)	n.a.	3.0 %	30.1 %	10.2 %	2.1 %	8.4 %	11.2 %
ROE	-11.1 %	1.4 %	18.2 %	7.0 %	1.0 %	5.2 %	6.9 %
Adj. ROE	2.3 %	-1.7 %	18.7 %	8.4 %	3.8 %	5.2 %	6.9 %
Balance sheet quality							
Net Debt	-15.5	-50.6	-43.8	-42.6	-48.3	-55.2	-62.4
Net Financial Debt	-15.5	-50.6	-43.8	-42.6	-48.3	-55.2	-62.4
Net Gearing	-31.0 %	-48.9 %	-34.2 %	-30.6 %	-34.0 %	-36.9 %	-38.9 %
Net Fin. Debt / EBITDA	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Book Value / Share	3.5	6.0	7.4	8.0	8.2	8.6	9.2
Book value per share ex intangibles	2.2	4.9	6.2	6.8	7.0	7.4	8.0

ROCE Development



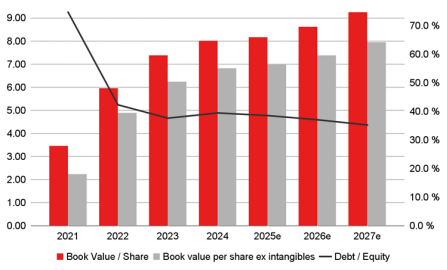
Source: Warburg Research

Net debt
in EUR m



Source: Warburg Research

Book Value per Share
in EUR



Source: Warburg Research

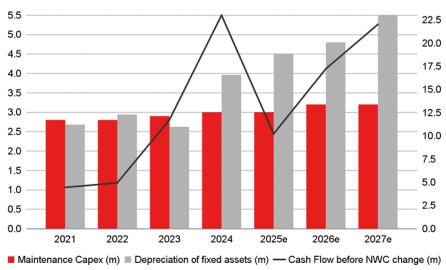
Consolidated cash flow statement

In EUR m	2021	2022	2023	2024	2025e	2026e	2027e
Net income	-5.8	1.1	21.1	9.4	1.5	7.6	10.8
Depreciation of fixed assets	2.7	2.9	2.6	4.0	4.5	4.8	5.5
Amortisation of goodwill	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Amortisation of intangible assets	1.6	2.1	2.8	2.5	3.2	3.0	3.2
Increase/decrease in long-term provisions	0.5	0.0	0.9	2.9	0.0	0.0	0.0
Other non-cash income and expenses	5.5	-1.1	-15.7	4.3	1.1	1.7	2.6
Cash Flow before NWC change	**4.4**	**4.9**	**11.7**	**23.0**	**10.2**	**17.2**	**22.0**
Increase / decrease in inventory	-1.4	-10.8	-1.3	-1.9	0.9	-1.8	-3.0
Increase / decrease in accounts receivable	-5.0	-1.0	-10.8	-8.4	-0.1	0.0	-3.4
Increase / decrease in accounts payable	2.6	1.6	4.0	2.8	0.9	1.8	2.1
Increase / decrease in other working capital positions	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Increase / decrease in working capital (total)	-3.7	-10.2	-8.1	-7.6	1.7	0.0	-4.3
Net cash provided by operating activities [1]	**0.7**	**-5.3**	**3.6**	**15.4**	**11.9**	**17.2**	**17.7**
Investments in intangible assets	-2.8	-3.1	-4.2	-4.2	-2.8	-3.8	-4.0
Investments in property, plant and equipment	-1.0	-8.0	-5.9	-7.0	-3.5	-6.5	-6.5
Payments for acquisitions	0.0	0.0	0.0	-3.0	0.0	0.0	0.0
Financial investments	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Income from asset disposals	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net cash provided by investing activities [2]	**-3.8**	**-5.2**	**-6.4**	**-12.2**	**-6.3**	**-10.3**	**-10.5**
Change in financial liabilities	-3.6	1.3	0.0	-2.3	-1.1	-1.0	-1.0
Dividends paid	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Purchase of own shares	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Capital measures	0.0	51.2	0.0	0.0	0.0	0.0	0.0
Other	0.0	-1.8	-1.9	0.0	0.0	0.0	0.0
Net cash provided by financing activities [3]	**-3.6**	**50.7**	**-1.9**	**-2.3**	**-1.1**	**-1.0**	**-1.0**
Change in liquid funds [1]+[2]+[3]	**-6.7**	**40.2**	**-4.7**	**1.0**	**4.5**	**5.9**	**6.2**
Effects of exchange-rate changes on cash	0.0	0.0	-0.1	0.0	0.0	0.0	0.0
Cash and cash equivalent at end of period	**24.7**	**64.8**	**60.0**	**60.8**	**65.0**	**70.9**	**77.2**

Financial Ratios

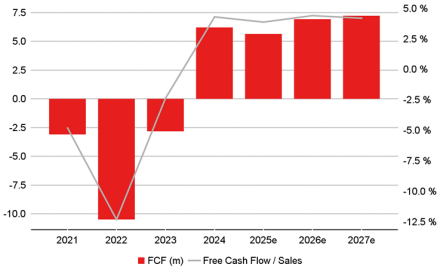
	2021	2022	2023	2024	2025e	2026e	2027e
Cash Flow							
FCF	-3.1	-10.5	-2.8	6.2	5.6	6.9	7.2
Free Cash Flow / Sales	-4.8 %	-12.3 %	-2.4 %	4.3 %	3.9 %	4.4 %	4.2 %
Free Cash Flow Potential	-3.1	4.5	23.6	12.1	5.1	13.3	17.7
Free Cash Flow / Net Profit	53.2 %	-978.2 %	-13.4 %	66.1 %	383.8 %	90.7 %	67.0 %
Interest Received / Avg. Cash	0.0 %	0.0 %	1.6 %	1.8 %	0.6 %	0.6 %	0.5 %
Interest Paid / Avg. Debt	3.7 %	5.1 %	5.2 %	5.1 %	6.8 %	4.8 %	2.8 %
Management of Funds							
Investment ratio	5.9 %	12.9 %	8.6 %	7.7 %	4.3 %	6.5 %	6.1 %
Maint. Capex / Sales	4.4 %	3.3 %	2.5 %	2.1 %	2.1 %	2.0 %	1.9 %
Capex / Dep	87.8 %	220.4 %	185.7 %	173.0 %	82.3 %	131.3 %	121.3 %
Avg. Working Capital / Sales	34.8 %	34.1 %	31.9 %	32.1 %	34.8 %	31.7 %	30.2 %
Trade Debtors / Trade Creditors	233.6 %	214.2 %	237.8 %	235.4 %	229.4 %	212.1 %	212.2 %
Inventory Turnover	2.9 x	2.2 x	2.8 x	2.8 x	2.9 x	3.0 x	3.0 x
Receivables collection period (days)	101	83	95	92	92	85	85
Payables payment period (days)	67	61	66	66	67	66	66
Cash conversion cycle (Days)	155	183	148	156	147	135	134

CAPEX and Cash Flow
in EUR m



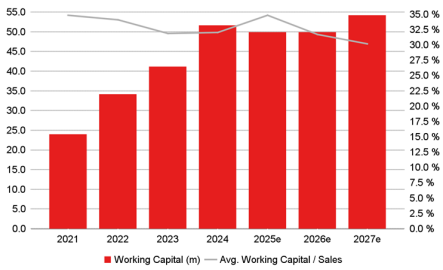
Source: Warburg Research

Free Cash Flow Generation



Source: Warburg Research

Working Capital



Source: Warburg Research

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-4- MMWB, Warburg Research, or an affiliated company, reached an agreement with the issuer to provide **investment banking and/or investment services** and the relevant agreement was in force in the last 12 months or there arose for this period, based on the relevant agreement, the obligation to provide or to receive a service or compensation - provided that this disclosure does not result in the disclosure of confidential business information.

-5- The company compiling the analysis or an affiliated company had reached an **agreement on the compilation of the investment recommendation** with the analysed company.

-6a- Warburg Research, or an affiliated company, holds a **net long position of more than 0.5%** of the total issued share capital of the analysed company.

-6b- Warburg Research, or an affiliated company, holds a **net short position of more than 0.5%** of the total issued share capital of the analysed company.

-6c- The issuer holds shares of more than 5% of the total issued capital of Warburg Research or an affiliated company.

-7- The company preparing the analysis as well as its affiliated companies and employees have **other important interests** in relation to the analysed company, such as, for example, the exercising of mandates at analysed companies.

Company	Disclosure	Link to the historical price targets and rating changes (last 12 months)
SFC Energy	5	https://www.mmwarburg.com/disclaimer/disclaimer_en/DE0007568578.htm

INVESTMENT RECOMMENDATION

Investment recommendation: expected direction of the share price development of the financial instrument up to the given price target in the opinion of the analyst who covers this financial instrument.

-B-	**Buy:**	The price of the analysed financial instrument is expected to rise over the next 12 months.
-H-	**Hold:**	The price of the analysed financial instrument is expected to remain mostly flat over the next 12 months.
-S-	**Sell:**	The price of the analysed financial instrument is expected to fall over the next 12 months.
"-"	**Rating suspended:**	The available information currently does not permit an evaluation of the company.

WARBURG RESEARCH GMBH – ANALYSED RESEARCH UNIVERSE BY RATING

Rating	Number of stocks	% of Universe
Buy	139	69
Hold	52	26
Sell	6	3
Rating suspended	4	2
Total	**201**	**100**

WARBURG RESEARCH GMBH – ANALYSED RESEARCH UNIVERSE BY RATING …

… taking into account only those companies which were provided with major investment services in the last twelve months.

Rating	Number of stocks	% of Universe
Buy	36	71
Hold	12	24
Sell	1	2
Rating suspended	2	4
Total	**51**	**100**

PRICE AND RATING HISTORY SFC ENERGY AS OF 19.11.2025



Markings in the chart show rating changes by Warburg Research GmbH in the last 12 months. Every marking details the date and closing price on the day of the rating change.

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